



ARTS & FASHION

UNCERTAINTY, STRATEGIC SENSEMAKING, AND
ORGANISATIONAL FAILURE IN THE ART MARKET

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OVERVIEW OF THE READING

Main Idea:

Even powerful and well-funded companies can fail in uncertain markets like the art auction world, when they don't properly make sense of their environment. Success in these creative industries depends on using both logic and intuition, but also on being able to adapt, learn, and adjust when things go wrong.

- LVMH aimed to challenge Sotheby's and Christie's by creating a luxury boutique auction house.
- Despite expert hires and major investments, the venture led to huge financial losses.
- Authors argue LVMH relied too much on intuition and failed to adjust to market signals.
- Shows how even powerful firms can fail in uncertain, creative markets.

Conceptual Framework

1. **Scanning** – Gathering external environmental signals.
2. **Interpreting** – Making sense of those signals through analysis and intuition.
3. **Strategising** – Formulating strategy based on internal knowledge, legitimacy, and artistic innovation.
4. **Acting** – Building organizational configurations: leadership style, resources, and structure.
5. **Adjusting** – Real-time correction or adaptation when things go wrong.

A failure in any one of these processes can lead to organisational blindness.

A n a l y s i s

1. Scanning & Interpreting:

- LVMH did not adequately interpret the auction market's complexities, relying instead on luxury market assumptions.
- Their desire to rival Christie's and Sotheby's was emotionally driven, not based on careful market analysis.

2. Strategising:

- LVMH attempted to position Phillips as a boutique auction house, blending luxury branding with contemporary and modern art offerings.
- The strategy relied heavily on guarantees and glamour rather than market sustainability.

A n a l y s i s

3. Acting:

- Phillips was restructured and relocated to New York.
- Heavy investments were made in facilities, staff, and marketing.

4. Adjusting:

- No timely adjustment was made in response to early financial warnings.
 - The use of financial guarantees persisted even after failures.
- The company continued down a costly path until LVMH withdrew its stake in 2001.

What Went Wrong

1. Emotional & Opportunistic Entry into the Auction Market

- Arnault's decision to buy Phillips was emotionally motivated by a rivalry with François Pinault (who owned Christie's).
- Instead of scanning and interpreting market signals, LVMH reacted impulsively, underestimating the complexity of the auction market.
- Arnault believed art could be sold like luxury goods—a fundamental strategic misfit.

What Went Wrong

2. Poor Interpretation of Market Dynamics

- LVMH failed to grasp the nuances of auction markets: high uncertainty, information asymmetry, symbolic value creation.
- Art isn't just a luxury good—it's a cultural commodity, valued subjectively and historically, often tied to trust, expertise, and credibility.

What Went Wrong

3. Misaligned Strategic Configuration

- LVMH invested heavily in design, marketing, and prestige locations, but didn't sufficiently build long-term symbolic capital, such as trust with elite collectors or curatorial credibility.
- Their strategy relied on lavish guarantees to secure high-value collections, but not sustainable market relationships.

What Went Wrong

4. Acting Without Adjusting

- Despite heavy losses, LVMH didn't adjust its strategy—they kept offering guarantees, overspending, and pursuing high-stakes auctions.
- Leadership didn't question core assumptions or respond effectively to weak performance.

ROLE OF INTUITION



SENSE MAKING

🔍 Uncertainty in Valuation

- Despite increased price transparency, auction databases exclude private sales
- Valuation depends on both market data and expert intuition
- Multiple interpretations of value → decision uncertainty
- Leaders must act within cognitive and informational limitations



🧠 Role of Leadership

- Strategic decisions often rely on the artistic vision and intuition of leaders
- Success or failure depends on their sensemaking under uncertainty (Caves, 2000)

🌟 Success Factors

- Depends on symbolic capital (Bourdieu, 1993): → Reputation, legitimacy, and networks of trust

⚠️ Failure Factors

- Failure to adjust to warning signs (e.g., declining sales, loss of expertise)
- Inability to generate demand or value artworks accurately
- Entire auctions may fail if reserve prices aren't met

WHO SUCCEEDED SELLING?



Role of Auction Houses in the Art Market

Facilitators of Transactions

- Concentration of Buyers and Sellers: Auction houses act as intermediaries, bringing together buyers and sellers
- Example: Phillips, during its time under LVMH, hosted numerous sales, aiming to position itself as a key player in the high-end auction market.

Establishing Market Value

- Price Setting Mechanism: Determining the market price of artworks through competitive bidding.
- Example: LVMH's strategy for Phillips involved promoting high-profile auctions that aimed to attract media attention and establish benchmark prices.

Educational Role

- Informing Collectors: Auction houses can serve an educational function by helping collectors understand art valuation and market dynamics.



Role of Auction Houses in the Art Market

Legitimization of Artworks

- Authentication and Provenance: Auction houses are responsible for verifying the authenticity and provenance of artworks.
- Example: Phillips worked to establish its credibility as it attempted to differentiate itself from the duopoly of Sotheby's and Christie's.

Marketing and Promotion

- Curated Sales and Events: Auction houses create curated auction events that enhance the selling environment.

Building Collector Networks

Navigating Market Trends

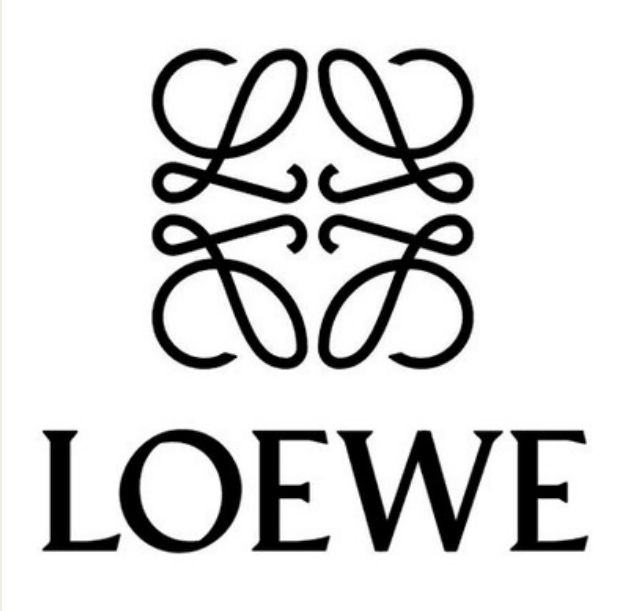
- Adapting to Changes: Auction houses must stay attuned to evolving trends in the art market.



RISE AND DEATH OF FASHION BRANDS

WHAT CAUSES IT?

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SUCCESSION AND FAILURE IN FASHION BRANDS		
<i>LOEWE</i>  Fall of Loewe 1.Identity Crisis (Early 2000s) 2.Declining Popularity 3.Market Challenges Rise of Loewe 1.Rebranding Efforts (2010s) 2.Innovative Collections 3. Market Resurgence	<i>Forever 21</i>  Issues: • Rapid expansion led to over-saturation of the market • Inability to keep up with changing consumer preferences towards sustainability • Failed to develop a strong online presence • Ignored the shift towards sustainable fashion Results: • Filed for bankruptcy in 2019 and closed numerous stores. • The brand is now focusing on restructuring and improving its online platform to regain market share.	

Discussion Questions

- Do you think LVMH's failure with Phillips was mainly a result of poor strategic sensemaking, or was it simply a bad industry fit?
- In uncertain and creative markets like the art world, how much should companies rely on intuition versus structured strategy?
- The authors propose that “adjusting” is a key step in avoiding failure. Why do you think Phillips (under LVMH) failed to adjust—and what would you have done differently?

THANK YOU



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